units, to diversify investment and risk and to gain certain technical advantages of flexibility and convenience. Many sound and important enterprises are in holding company form.

Examples: United States Steel Corporation is entirely a holding company; although originally there was some element of pyramiding in its capital set-up, this defect disappeared in later years. American Telephone and Telegraph Company is preponderantly a holding company, but its financial structure has never been subject to serious criticism. General Motors Corporation is largely a holding company.

A holding-company exhibit must therefore be considered on its merits. American Light and Traction Company is a typical example of the holding company organized entirely for legitimate purposes. On the other hand the acquisition of control of this enterprise by United Light and Railways Company (Del.) must be regarded as a pyramiding move on the part of the United Light and Power interests.

Speculative Capital Structure May Be Created in Other Ways. It may be pointed out also that a speculative capital structure can be created without the use of a holding company.

Examples: The Maytag Company recapitalization, discussed in an earlier chapter, yielded results usually attained by the formation of a holding company and the sale of its senior securities. In the case of Continental Baking Corporation—to cite another example—the holding company form was not an essential part of the pyramided result there attained. The speculative structure was due entirely to the creation of large preferred issues by the parent company, and it would still have existed if Continental Baking had acquired all its properties directly, eliminating its subsidiaries. (As it happened, in 1938 this company took steps to acquire the assets of its chief subsidiaries, thus largely eliminating the holding-company form but retaining the speculative capital structure.)

Legislative Restraints on Pyramiding. So spectacular were the disastrous effects of the public-utility pyramiding of the 1920s that Congress was moved to drastic action. The Public Utility Holding Company Act of 1935 includes the so-called "death sentence" for many of the existing systems, requiring them ultimately to simplify their capital structures and to dispose of subsidiaries operating in noncontiguous territory. Formation of new pyramids is effectively blocked by requiring Commission approval